

1 STATE OF OKLAHOMA

2 2nd Session of the 60th Legislature (2026)

3 COMMITTEE SUBSTITUTE

4 FOR ENGROSSED

5 HOUSE BILL NO. 3647

By: Stinson, Archer, and Newton  
of the House

and

Rosino of the Senate

6  
7  
8  
9 COMMITTEE SUBSTITUTE

10 [ health information - Oklahoma Health Care  
11 Transparency Initiative Act of 2026 - Office of the  
12 State Coordinator for Health Information Exchange -  
13 powers and duties of the Office - state-designated  
14 entity for health information exchange - requirement  
15 - exemptions - Oklahoma Health Care Transparency  
16 Initiative - governance and oversight - compliance -  
17 public health data - unique identifier -  
18 confidentiality, privacy, and security of data -  
19 penalties - remittance or mitigation of penalties -  
Insurance Department - proceeds - Oklahoma Health  
Care Authority - allowed uses of funds - Health Care  
Cost Transparency Board - Oklahoma Open Records Act -  
codification ]

20 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

21 SECTION 1. NEW LAW A new section of law to be codified  
22 in the Oklahoma Statutes as Section 1-130 of Title 63, unless there  
23 is created a duplication in numbering, reads as follows:

24 This act shall be known and may be cited as the "Oklahoma Health  
Care Transparency Initiative Act of 2026".

SECTION 2. AMENDATORY Section 1, Chapter 250, O.S.L.

2022 (63 O.S. Supp. 2025, Section 1-132.1), is amended to read as follows:

Section 1-132.1. A. There is hereby created the Office of the State Coordinator for Health Information Exchange within the Oklahoma Health Care Authority.

B. The Office shall have the power and duty to ~~oversee~~:

1. Oversee the designation of the state-designated entity for health information exchange, as described under Section 1-133 of Title 63 of the Oklahoma Statutes this title; and

2. Oversee the enforcement of the Oklahoma Health Care Transparency Initiative.

C. The Office shall consist of the State Coordinator for Health Information Exchange, who shall be appointed by and serve at the pleasure of the Administrator of the Authority, and such other employees of the Authority as the Administrator may assign to the Office.

SECTION 3. AMENDATORY 63 O.S. 2021, Section 1-133, as last amended by Section 1, Chapter 243, O.S.L. 2024 (63 O.S. Supp. 2025, Section 1-133), is amended to read as follows:

Section 1-133. A. As used in this section:

1. "Health information exchange" means the electronic movement of health-related information among organizations according to

1 nationally recognized standards for purposes including, but not  
2 limited to, payment, treatment, and ~~administration~~ operations; and

3 2. "Health information exchange organization" means an entity  
4 whose primary business activity is health information exchange and  
5 which is governed by its stakeholders.

6 B. The State of Oklahoma~~+~~

7 ~~1. Shall~~ shall designate a health information exchange  
8 organization as the state-designated entity for health information  
9 exchange~~+~~

10 ~~2. Shall establish a transition plan to ensure continued~~  
11 ~~operation of the health information exchange; and~~

12 ~~3. May temporarily serve as the state-designated entity as part~~  
13 ~~of the transition plan described in paragraph 2 of this subsection.~~

14 C. Beginning July 1, 2023, all health care providers as defined  
15 by the rules promulgated by the Oklahoma Health Care Authority Board  
16 and who are licensed by and located in this state may report data to  
17 and utilize the state-designated entity. ~~The Office of the State~~  
18 ~~Coordinator for Health Information Exchange may, as provided by~~  
19 ~~rules promulgated by the Board, allow exemptions from the~~  
20 ~~requirement provided by this subsection on the basis of financial~~  
21 ~~hardship, size, or technological capability of a health care~~  
22 ~~provider or such other bases as may be provided by rules promulgated~~  
23 ~~by the Board.~~

1 D. 1. A person who participates in the services or information  
2 provided by the state-designated entity shall not be liable in any  
3 action for damages or costs of any nature that result solely from  
4 the person's use or failure to use information or data from the  
5 state-designated entity that was entered or retrieved under relevant  
6 state or federal privacy laws, rules, regulations, or policies  
7 including, but not limited to, the Health Insurance Portability and  
8 Accountability Act of 1996.

9 2. A person shall not be subject to antitrust or unfair  
10 competition liability based on participation with the state-  
11 designated entity as long as the participation provides an essential  
12 governmental function for the public health and safety and enjoys  
13 state action immunity.

14 ~~E. A person who provides information and data to the state-~~  
15 ~~designated entity retains a property right in the information or~~  
16 ~~data, but grants to the other participants or subscribers a~~  
17 ~~nonexclusive license to retrieve and use that information or data~~  
18 ~~under relevant state or federal privacy laws, rules, regulations, or~~  
19 ~~policies including, but not limited to, the Health Insurance~~  
20 ~~Portability and Accountability Act of 1996.~~

21 ~~F.~~ E. Patient-specific protected health information shall only  
22 be disclosed in compliance with relevant state or federal privacy  
23 laws, rules, regulations, or policies including, but not limited to,  
24 the Health Insurance Portability and Accountability Act of 1996.

1       ~~G. F.~~ The Oklahoma Health Care Authority Board shall promulgate  
2 rules to implement the provisions of this section.

3       SECTION 4.       NEW LAW       A new section of law to be codified  
4 in the Oklahoma Statutes as Section 1-134 of Title 63, unless there  
5 is created a duplication in numbering, reads as follows:

6       As used in the Oklahoma Health Care Transparency Initiative Act  
7 of 2026:

8       1. "Board" means the Oklahoma Health Care Authority Board;

9       2. "Claims data" means information, including protected health  
10 information, included in an institutional, professional, or pharmacy  
11 claim or equivalent information transaction for a covered individual  
12 including the amount paid to a health care provider plus any amount  
13 owed by the covered individual;

14       3. "Covered individual" means a natural person who is a  
15 resident of this state and is eligible to receive medical, dental,  
16 or pharmaceutical benefits under any policy, contract, certificate,  
17 evidence of coverage, rider, binder, or endorsement that provides  
18 for or describes coverage;

19       4. "Direct personal identifiers" means the identifiers of  
20 covered individuals listed in 45 C.F.R., Section 164.514(b)(2);

21       5. "Enrollment data" means demographic information and other  
22 identifying information related to covered individuals, including  
23 direct personal identifiers and protected health information;

1       6. "Health benefit plan" has the same meaning as provided in  
2 Section 6060.4 of Title 36 of the Oklahoma Statutes;

3       7. "Health care provider" or "provider" means a health care  
4 provider as defined in HIPAA implementing regulations, including 45  
5 C.F.R., Section 160.103, who is licensed by the state to provide  
6 health care services;

7       8. "HIPAA" means the Health Insurance Portability and  
8 Accountability Act of 1996 and its implementing regulations set  
9 forth in 45 C.F.R., Parts 160, 162, and 164;

10      9. "Limited data set" has the same meaning as provided in 45  
11 C.F.R., Section 164.514(e) (2);

12      10. "Office" means the Office of the State Coordinator for  
13 Health Information Exchange created under Section 1-132.1 of Title  
14 63 of the Oklahoma Statutes;

15      11. "Oklahoma Health Care Transparency Initiative" means an  
16 initiative to create a database, including ongoing all-payer claims  
17 database projects that receive and store data from a submitting  
18 entity relating to medical, dental, pharmaceutical, and other  
19 insurance claims information, unique identifiers, and geographic and  
20 demographic information for covered individuals as permitted in this  
21 act, and provider files, for the purpose of implementing the  
22 Oklahoma Health Care Transparency Initiative;

1       12. "Protected health information" has the same meaning as  
2 provided in HIPAA implementing regulations, including 45 C.F.R.,  
3 Section 160.103;

4       13. "State-designated entity for health information exchange"  
5 or "state-designated entity" means the health information exchange  
6 organization designated by the State of Oklahoma as the state-  
7 designated entity for health information exchange under Section 1-  
8 133 of Title 63 of the Oklahoma Statutes;

9       14. a. "Submitting entity" means:

10               (1) an entity that provides health or dental  
11                       insurance or a health or dental benefit plan in  
12                       this state including, but not limited to, an  
13                       insurance company, medical services plan, managed  
14                       care organization, hospital plan, hospital  
15                       medical service corporation, health maintenance  
16                       organization, fraternal benefit society, or other  
17                       health benefit plan, provided that the entity has  
18                       covered individuals and the entity had at least  
19                       two thousand covered individuals in the previous  
20                       calendar year,

21               (2) a health benefit plan offered or administered by  
22                       or on behalf of the state or an agency or  
23                       instrumentality of the state including, but not  
24                       limited to, benefits administered by a contracted

entity under the Ensuring Access to Medicaid Act,  
notwithstanding the number of covered individuals  
in the previous year,

(3) a health benefit plan offered or administered by  
or on behalf of the federal government with the  
agreement of the federal government,

(4) any other entity providing a plan of health  
insurance or health benefits subject to state  
insurance regulation or a third-party  
administrator, provided that the entity has  
covered individuals and the entity had at least  
two thousand covered individuals in the previous  
calendar year,

(5) a health benefit plan that is subject to the  
Employee Retirement Income Security Act of 1974,  
P.L. No. 93-406, and that is fully insured,

(6) a risk-based provider organization licensed by  
the Insurance Department,

(7) any entity that contracts with the Department of  
Corrections to provide medical, dental, or  
pharmaceutical care to inmates, and

(8) a pharmacy benefits manager.

b. A submitting entity shall not include:



- 1 (1) an entity that provides health insurance or a  
2 health benefit plan that is accident-only,  
3 specified disease, hospital indemnity, long-term  
4 care, disability income, or other supplemental  
5 benefit coverage,
- 6 (2) an employee of a welfare benefit plan as defined  
7 by federal law that is also a trust established  
8 pursuant to collective bargaining subject to the  
9 Labor Management Relations Act, 1947, or
- 10 (3) a Medicare supplemental policy as defined by 42  
11 C.F.R., Section 403.205; and

12 15. "Unique identifier" means any identifier that is guaranteed  
13 to be unique among all identifiers for covered individuals, but does  
14 not include direct personal identifiers, and meets the requirements  
15 of 45 C.F.R., Section 164.514(c).

16 SECTION 5. NEW LAW A new section of law to be codified  
17 in the Oklahoma Statutes as Section 1-135 of Title 63, unless there  
18 is created a duplication in numbering, reads as follows:

19 A. Beginning July 1, 2027, there is hereby created the Oklahoma  
20 Health Care Transparency Initiative. The initiative shall be  
21 governed by the state-designated entity for health information  
22 exchange and enforced by the Office of the State Coordinator for  
23 Health Information Exchange.  
24

1       B. Beginning on a date determined by the Oklahoma Health Care  
2 Authority Board, and thereafter in a frequency specified in rules  
3 promulgated by the Board, a submitting entity shall submit claims  
4 data, unique identifiers, and geographic and demographic information  
5 for covered individuals as permitted in this act, and provider files  
6 to the state-designated entity for health information exchange in  
7 accordance with standards and procedures promulgated by the Board  
8 and in accordance with the data governance policies established by  
9 the state-designated entity. The Office shall begin implementation  
10 of the requirements of this subsection on or before July 1, 2027.

11       C. 1. A health benefit plan, person, or entity excluded from  
12 the definition of submitting entity as provided by Section 4 of this  
13 act shall not be subject to the requirements of subsection B of this  
14 section, but may voluntarily submit claims data, unique identifiers,  
15 and geographic and demographic information for covered individuals  
16 as permitted in this act, and provider files to the state-designated  
17 entity in accordance with standards and procedures promulgated by  
18 the Board.

19       2. To the extent the excluded health benefit plan, person, or  
20 entity voluntarily submits data described in this subsection to the  
21 state-designated entity, the health benefit plan, person, or entity  
22 shall comply with all requirements of this act, other than  
23 subsection B of this section, including, but not limited to,  
24

1 compliance with applicable state and federal data privacy and  
2 security laws.

3 D. 1. The Office shall enter into an agreement with the State  
4 Department of Health to:

- 5 a. identify public health data and vital statistics data  
6 collected by the Department under Title 63 of the  
7 Oklahoma Statutes for submission to the state-  
8 designated entity for integration into the Oklahoma  
9 Health Care Transparency Initiative database created  
10 under this section including, but not limited to, data  
11 collected regarding hospital discharge and emergency  
12 department records for the uninsured, birth and death  
13 records, and disease registry data,
- 14 b. establish a cooperative approval process for the  
15 disclosure of public health data and vital statistics  
16 data, and
- 17 c. establish a fee sharing schedule for the release of  
18 requested data.

19 2. The data submitted under paragraph 1 of this subsection  
20 shall be assigned a unique identifier and may be used in accordance  
21 with this act.

22 E. 1. The All-Payer Claims Database established pursuant to  
23 the Oklahoma Health Care Transparency Initiative shall measure  
24 statewide primary care spending using the parameters established by

1 the Health Care Cost Transparency Board under subsection G of  
2 Section 8 of this act including, but not limited to, for the  
3 purposes of the Ensuring Access to Medicaid Act.

4 2. The state-designated entity shall produce reports from the  
5 All-Payer Claims Database established pursuant to the Oklahoma  
6 Health Care Transparency Initiative to the Health Care Cost  
7 Transparency Board created in Section 8 of this act for the purpose  
8 of enabling the Board to carry out its duties.

9 SECTION 6. NEW LAW A new section of law to be codified  
10 in the Oklahoma Statutes as Section 1-136 of Title 63, unless there  
11 is created a duplication in numbering, reads as follows:

12 A. Data and other information submitted under Section 5 of this  
13 act shall be treated as confidential and shall be exempt from  
14 disclosure as a record under the Oklahoma Open Records Act as  
15 defined in Section 24A.3 of Title 51 of the Oklahoma Statutes and  
16 are not subject to subpoena except to the extent provided in the  
17 Oklahoma Insurance Code.

18 B. The Office shall ensure that data and other information  
19 submitted under Section 5 of this act is only received, maintained,  
20 used, disclosed, or released in compliance with applicable state and  
21 federal confidentiality, data privacy, and security laws and  
22 regulations and data governance policies established by the state-  
23 designated entity for health information exchange, and where such  
24 data or other information constitutes protected health information,

1 in compliance with the Health Insurance Portability and  
2 Accountability Act of 1996 (HIPAA).

3 C. Data and other information in the Oklahoma Health Care  
4 Transparency Initiative may, to the extent consistent with data  
5 governance policies established by the state-designated entity, be  
6 available:

7 1. When disclosed in a form and manner that ensures the privacy  
8 and security of protected health information as required by state  
9 and federal laws, as a resource to insurers, employers, purchasers  
10 of health care, researchers, state agencies, and health care  
11 providers to allow for assessment of health care utilization,  
12 expenditures, and performance in this state, including, but not  
13 limited to, as a resource for hospital community health needs  
14 assessments; and

15 2. To state programs regarding health care quality and costs  
16 for use in improving health care in the state, subject to state and  
17 federal privacy laws or limiting access to limited data sets.

18 D. Data and other information in the Oklahoma Health Care  
19 Transparency Initiative shall not be used to disclose trade secrets  
20 of submitting entities.

21 E. Notwithstanding any other section of law, the Oklahoma  
22 Health Care Transparency Initiative shall not be used to publicly  
23 disclose any data or other information that contains direct personal  
24

1 identifiers or that is reasonably likely to identify a covered  
2 individual when combined with other available information.

3 F. This act shall not be construed to supersede, limit, amend,  
4 or abrogate any state or federal confidentiality, data privacy, or  
5 security law or regulation or data governance policy and shall be  
6 implemented in a manner consistent with HIPAA.

7 SECTION 7. NEW LAW A new section of law to be codified  
8 in the Oklahoma Statutes as Section 1-137 of Title 63, unless there  
9 is created a duplication in numbering, reads as follows:

10 A. Except for state or federal agencies that are submitting  
11 entities, a submitting entity that fails to submit data as required  
12 by this act or the rules promulgated by the Oklahoma Health Care  
13 Authority Board may be subject to a fine assessed by the Insurance  
14 Department.

15 B. The Insurance Commissioner shall adopt a schedule of fines  
16 not to exceed One Thousand Dollars (\$1,000.00) per day for each day  
17 the violation occurs, to be determined by the severity of the  
18 violation.

19 C. A fine assessed under this section may be remitted or  
20 mitigated upon such terms and conditions as the Insurance  
21 Commissioner considers proper and consistent with public health and  
22 safety.

23 D. Of the proceeds from fines remitted under this section, the  
24 Insurance Department shall retain a portion of such proceeds

1 necessary to cover the cost to the Department of administering the  
2 assessment and collection of such fines, and the Department shall  
3 remit the remainder of the proceeds to the Oklahoma Health Care  
4 Authority. The Authority may only use proceeds from fines assessed  
5 under this section to fund operations of the Oklahoma Health Care  
6 Transparency Initiative.

7 SECTION 8. NEW LAW A new section of law to be codified  
8 in the Oklahoma Statutes as Section 6575 of Title 36, unless there  
9 is created a duplication in numbering, reads as follows:

10 A. There is hereby created within the Insurance Department, the  
11 Health Care Cost Transparency Board.

12 B. The Board shall utilize information derived from the All-  
13 Payer Claims Database established pursuant to the Oklahoma Health  
14 Care Transparency Initiative to evaluate statewide health care  
15 spending trends, utilization patterns, and cost growth across payer  
16 types operating in this state.

17 C. The Health Care Cost Transparency Board shall consist of  
18 fifteen (15) members, as follows:

19 1. The Insurance Commissioner or designee, who shall serve as  
20 chair;

21 2. The Administrator of the Oklahoma Health Care Authority or  
22 designee;

23 3. The State Commissioner of Health or designee;

24 4. One representative of the state-designated entity;

- 1        5. One representative of a licensed commercial health insurer,  
2 appointed by the Governor;
- 3        6. One representative of employers or large purchasers of  
4 health care, appointed by the Governor;
- 5        7. One health care economist or data analytics expert,  
6 appointed by the Governor;
- 7        8. One consumer advocate, appointed by the Governor;
- 8        9. One representative of a rural health organization, appointed  
9 by the Governor;
- 10       10. One representative of a hospital or health system,  
11 appointed by the President Pro Tempore of the Senate from nominees  
12 recommended by the Oklahoma Hospital Association;
- 13       11. One member appointed by the Speaker of the House of  
14 Representatives from nominees recommended by the Oklahoma Primary  
15 Care Association;
- 16       12. One member appointed by the President Pro Tempore of the  
17 Senate from nominees recommended by the Oklahoma Osteopathic  
18 Association;
- 19       13. One member appointed by the Speaker of the House of  
20 Representatives from nominees recommended by the Oklahoma State  
21 Medical Association;
- 22       14. One member appointed by the President Pro Tempore of the  
23 Senate from nominees recommended by the Oklahoma Academy of Family  
24 Physicians; and



1        15. One member appointed by the Speaker of the House of  
2 Representatives from nominees recommended by the Oklahoma Chapter of  
3 the American Academy of Pediatrics.

4        D. Members appointed to the Board shall serve three-year  
5 staggered terms and may be reappointed.

6        E. The Board shall meet at least quarterly and may establish  
7 advisory or technical committees as necessary.

8        F. The Health Care Cost Transparency Board shall analyze data  
9 derived from the All-Payer Claims Database established pursuant to  
10 this act to:

11        1. Evaluate statewide health care spending and utilization  
12 patterns;

13        2. Monitor health care cost growth across payer types;

14        3. Measure the share of total health care expenditures  
15 allocated to primary care services; and

16        4. Provide recommendations to the Governor and the Legislature  
17 regarding policies to improve health care affordability,  
18 transparency, and investment in primary care.

19        G. 1. The Health Care Cost Transparency Board shall work  
20 collaboratively with the state-designated entity to establish the  
21 parameters and definitions used to measure primary care expenditures  
22 in this state as required by subsection E of Section 5 of this act.

23        2. Primary care services shall be defined and measured using  
24 nationally recognized criteria for primary care spending measurement

1 including, but not limited to, those utilized by the Centers for  
2 Medicare and Medicaid Services and the Primary Care Collaborative.

3 H. The Health Care Cost Transparency Board shall, on or before  
4 November 1, 2028, and each November 1 thereafter, electronically  
5 submit an annual report to the Governor, the President Pro Tempore  
6 of the Senate, and the Speaker of the House of Representatives. The  
7 report shall summarize:

- 8 1. Statewide health care spending and utilization patterns;
- 9 2. Health care cost growth across payer types;
- 10 3. The share of total health care expenditures allocated to  
11 primary care services; and
- 12 4. Policy recommendations to improve health care affordability,  
13 transparency, and primary care investment.

14 SECTION 9. AMENDATORY 51 O.S. 2021, Section 24A.3, as  
15 last amended by Section 1, Chapter 404, O.S.L. 2025 (51 O.S. Supp.  
16 2025, Section 24A.3), is amended to read as follows:

17 Section 24A.3. As used in the Oklahoma Open Records Act:

- 18 1. "Record" means all documents including, but not limited to,  
19 any book, paper, photograph, microfilm, data files created by or  
20 used with computer software, computer tape, disk, record, sound  
21 recording, film recording, video record or other material regardless  
22 of physical form or characteristic, created by, received by, under  
23 the authority of, or coming into the custody, control or possession  
24 of public officials, public bodies or their representatives in

1 connection with the transaction of public business, the expenditure  
2 of public funds or the administering of public property. Record  
3 shall also mean applications and other documents related to  
4 licensure matters that are filed of record in a district court,  
5 including, but not limited to, marriage licenses, process server  
6 licenses, closing out sale licenses, transient merchant licenses,  
7 pool hall licenses, and bail bondsmen registration. Record does not  
8 mean:

- 9 a. computer software, ~~or~~
- 10 b. nongovernment personal effects, or
- 11 c. data or other information submitted to the state-  
12 designated entity for health information exchange  
13 under Section 1-133 of Title 63 of the Oklahoma  
14 Statutes or under this act;

15 2. "Public body" shall include, but not be limited to, any  
16 office, department, board, bureau, commission, agency, trusteeship,  
17 authority, council, committee, trust or any entity created by a  
18 trust, county, city, village, town, township, district, school  
19 district, fair board, court, executive office, advisory group, task  
20 force, study group or any subdivision thereof, supported in whole or  
21 in part by public funds or entrusted with the expenditure of public  
22 funds or administering or operating public property, and all  
23 committees, or subcommittees thereof. Except for the records  
24 required by Section 24A.4 of this title, public body does not mean

1 judges, justices, the Council on Judicial Complaints, the  
2 Legislature or legislators. Public body shall not include an  
3 organization that is exempt from federal income tax under Section  
4 501(c)(3) of the Internal Revenue Code of 1986, as amended, and  
5 whose sole beneficiary is a college or university, or an affiliated  
6 entity of the college or university, that is a member of The  
7 Oklahoma State System of Higher Education. Such organization shall  
8 not receive direct appropriations from the Legislature. The  
9 following persons shall not be eligible to serve as a voting member  
10 of the governing board of the organization:

11 a. a member, officer, or employee of the Oklahoma State  
12 Regents for Higher Education,

13 b. a member of the board of regents or other governing  
14 board of the college or university that is the sole  
15 beneficiary of the organization, or

16 c. an officer or employee of the college or university  
17 that is the sole beneficiary of the organization;

18 3. "Public office" means the physical location where public  
19 bodies conduct business or keep records;

20 4. "Public official" means any official or employee of any  
21 public body as defined herein; and

22 5. "Law enforcement agency" means any public body charged with  
23 enforcing state or local criminal laws and initiating criminal  
24 prosecutions including, but not limited to: police departments;

1 state and local fire marshals when investigating potential  
2 violations of federal, state, or local criminal laws or when acting  
3 on behalf of a law enforcement agency; county sheriffs; the  
4 Department of Public Safety; the Oklahoma State Bureau of Narcotics  
5 and Dangerous Drugs Control; the Alcoholic Beverage Laws Enforcement  
6 Commission; and the Oklahoma State Bureau of Investigation.

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